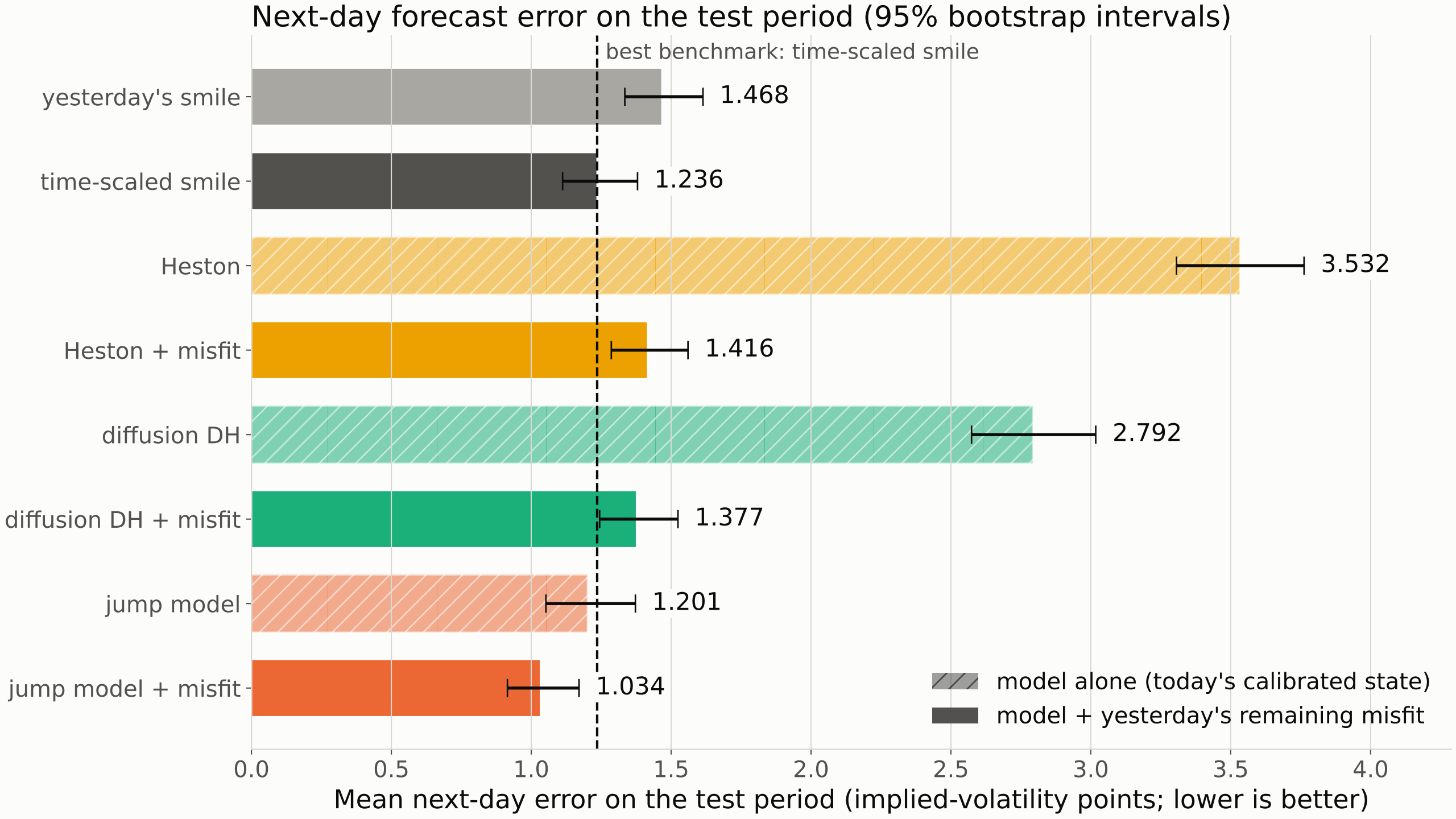
Next-day forecast error on the test period (95% bootstrap intervals)
best benchmark: time-scaled smile
yesterday's smile
time-scaled smile
Heston
Heston + misfit
diffusion DH
diffusion DH + misfit
jump model
jump model + misfit
1.468
1.236
3.532
1.416
2.792
1.377
1.201
1.034
model alone (today's calibrated state)
model + yesterday's remaining misfit
0.0
0.5
1.0
1.5
2.0
2.5
3.0
3.5
4.0
Mean next-day error on the test period (implied-volatility points; lower is better)